



Qualification Programme Examination Panelists' Report

Module D –Taxation (December 2018 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This section covered a wide range of topics under salaries tax, profits tax and property tax, including deduction of tax payment and calculation of tax credit, source of interest income and deductibility of interest expenses, the chargeability of shipping income, bilateral advance pricing arrangement ("BAPA"), chargeability and exemption of income from employment and office, chargeability of rental income and calculation of net assessable value. The examination results showed that many candidates failed to read questions carefully. Most of the questions in this section were in fact straightforward and easy. Yet, some candidates spent much time discussing issues not asked in the questions, resulting in nil or very low marks. Also, the candidates' knowledge on deduction of foreign tax payments and calculation of tax credits was limited. As with the previous examination sessions, the candidates were weak in application of knowledge and case analysis. However, as the questions pertaining to property tax were simple, the overall result of the candidates for this session was fair.

Specific Comments

Question 1(a) – 8 marks

This question required candidates to discuss the deductibility of three types of tax payment in mainland China, namely corporate income tax, value added tax and individual income tax, under profits tax in Hong Kong. The candidates were simply requested to discuss whether each tax payment was deductible under s.16(1) and s.17(1)(b) of the Inland Revenue Ordinance. However, many candidates did not read the questions carefully and discussed irrelevant points, such as source of profits, permanent establishment and even salaries tax exemption. The performance of the candidates in this question was far below expectations.

Question 1(b) – 6 marks

This question required candidates to compute the amount of assessable profits, tax credit and net amount of tax payable. The performance of this question was poor. Yet, as the scenario was in fact simple, there were candidates that could obtain full marks in this question.



Question 2(a) – 2 marks

This question required candidates to state and describe the principle that should be applied when determining the price for transactions between related companies. This should be an easy question as “arm’s length principle” is a well-known concept for related party transactions. However, the performance of the candidates was unsatisfactory.

Question 2(b) – 3 marks

This question required candidates to state the cost and benefit of a BAPA. The performance of the candidates in this question was also unsatisfactory. Most candidates could not identify the costs in relation to application for a BAPA. This showed that candidates were not familiar with topics related to transfer pricing issues.

Question 3 – 6 marks

This question required candidates to analyze the tax implications of the loan arrangements, i.e. to discuss whether the interest income was taxable and whether the interest expense was deductible. The case was simple. It concerned borrowing a loan from a bank in Hong Kong for on-lending to a subsidiary in the Mainland. Yet, the performance in this question was far below standard. For interest income, most candidates were able to identify “the provision of credit test” for determining the source of interest income. Yet, they were not able to apply the test correctly. As regards interest expense, most candidates were not able to conclude that the interest expenses were not deductible, as they were not incurred in the production of chargeable profits. Some candidates discussed irrelevant points such as interest flow back test.

Question 4(a) – 3 marks

This question required candidates to discuss the chargeability of income derived from shipping business as ship-owner and charterer. The performance of this question was satisfactory. Although this was not a hot topic, most candidates were able to identify the proper charging section, i.e. s.23B, and describe the provisions in detail.

Question 4(b) – 6 marks

This question required candidates to apply the special provisions for shipping business and discuss how the assessable profits derived from shipping business should be ascertained. The performance of the candidates in this question was not satisfactory. In general, the candidates were able to discuss “relevant sums” and “exempt sums”, but they were unable to apply the law correctly to the facts of the case. This revealed that the candidates did not have a thorough understanding of the relevant provisions.



Question 5 – 7 marks

This question required candidates to discuss whether a payment received by a director for services rendered both before and after his resignation was chargeable to salaries tax. The candidates were expected to distinguish between income from employment and income from office, as the exemption provided for under s.8(1A)(b) was not applicable to income from office. Yet, a number of candidates treated the whole payment as income from office. On the whole, the performance of the candidates in this question was fair.

Question 6(a) – 6 marks

This question required candidates to analyze the chargeability of rental income derived by a corporation and an individual under profits tax and property tax. This question was not difficult and the candidates received reasonably good marks.

Question 6(b) – 3 marks

This question required candidates to compute the net assessable value of two properties. As this was a computational question and the case was simple, the performance of this question was the best in Section A. However, some candidates made careless mistakes in the calculation of total rental income and rates.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section covered an extensive range of contents including computation of deductible expenses and allowances on capital expenditures longitudinally, discussions on salaries tax implications attributable to share option awards, generic issues related to China Value Added Tax ("VAT"), stamp duty issues on the acquisition of residential properties and ethical considerations before providing tax advisory services. The performance in this section was generally satisfactory, specifically in addressing the salaries tax implications derived from share option awards and the precise identification of the ethical considerations for tax practitioners. The performances in other parts were generally fair, except that the candidates' ability in analysing China VAT was still below average amongst other topics. This phenomenon is generally observable over years. Essentially businesses conducted across the border are found increasingly popular, and candidates should pay more attention to China tax and cross border related tax matters.

Specific Comments

Question 7 – 20 marks

This question required candidates to compute deductible expenses and allowances on capital expenditures across several years of assessment. The performance in this

question was slightly below expectation. It appeared that candidates were generally able to understand and apply the essential mechanisms in computing depreciation allowances under the pooling system. However, some candidates did not adopt a clear and concise template to construct their answer systematically, and therefore adversely affected the correctness of their computations. Some candidates did not use correct approach to compute Industrial Building Allowance and Commercial Building Allowance, and some candidates erroneously computed the depreciation allowances on hire-purchase assets on a combined basis. It was also noted that many candidates did not compute the deductible interest expenses, which had been specifically required in the question. In addressing the questions requiring comprehensive computations over years, candidates should identify a clear and systematic format or template to facilitate a holistic presentation. This is essentially important for candidates to maintain a clear mind-set to tackle computation across different years of assessment.

Question 8 – 11 marks

This question required candidates to discuss the salaries tax implications on share option awards in different contexts under different years of assessment. The performance in this question was satisfactory. Generally candidates were able to demonstrate their ability in addressing the salaries tax implications on assignment, release and exercise of share option awards. Yet many candidates did not discuss the respective salaries tax implications of Ms. Keung on the exercise of share option assigned to her brother and the subsequent disposal of the shares. Such implications were also critical to Ms. Keung holistically from the salaries tax perspective. Essentially candidates should consider the facts given in the question always in a wider context. A narrow focus on the tax issue is not a proper approach to address the matter comprehensively.

Question 9 – 3 marks

This question required candidates to discuss China VAT implications of a gift arrangement. The performance in this question was below expectation. Many candidates were not aware that the gift arrangement in the context of distribution of self-manufactured goods is regarded as deemed sales, and would have China VAT implications. In this regard, many candidates merely provided general background of the China VAT regime. Some other candidates incorrectly discussed other China tax matters, and therefore did not obtain any marks.

Question 10(a) – 5 marks

This question required candidates to discuss the eligibility of being a tax advisor and the respective ethical considerations prior to accepting a tax advisory engagement. The performance of this question was satisfactory. Many candidates correctly recognized that there is no statutory qualification to be a tax advisor, and also correctly pointed out the relevant ethical considerations before accepting the engagements. Some candidates erroneously discussed the ethical considerations after the acceptance of the engagement, which were irrelevant to this question.



Question 10(b) – 11 marks

This question required candidates to discuss the stamp duty implications in acquiring residential properties under different scenarios. The performance of this question was fair. Candidates were able to discuss the context of Special Stamp Duty and Buyer's Stamp Duty using appropriate approaches. Yet, the candidates' analysis on Ad Valorem Duty ("AVD") was mixed, and some candidates could not address the proper AVD regime under the different scenario. Some candidates did not discuss the implications on AVD in adequate detail, especially about the applicable rate of AVD with respect to the specific considerations under the relevant scenario. In Case B, many candidates focused their analysis on adding Mrs. B' husband in the Property B's conveyance on sales as joint owners, and ignored the evaluation on AVD implications with respect to the entering of the agreement for sales and purchase of property prior to entering the abovesaid conveyance on sales. This, again, indicated that candidates should improve their ability to widen their analytical skill on every aspect of the facts regarding the tax implications.

(III) Conclusion and Recommendation

The candidates performed well in computational questions and hot topics in Section A. On the other hand, they performed poorly in analytical questions that required application of law, and new or special topics. Their knowledge on China tax, tax credit calculation and BAPA was also found to be very limited. In view of the growing popularity of cross-border transactions and the increased concern on transfer pricing issues, candidates were recommended to update themselves with knowledge on these topics. Most importantly, candidates should be careful when reading the questions to avoid losing marks that are easy to earn and wasting time on writing points that are irrelevant.

The performance in Section B indicated that candidates should have a wider analytically mind in analysing tax implications with respect to the facts provided in the questions. The performance in question requesting for comprehensive computation revealed that candidates should spend some time constructing a concise skeleton in order to facilitate an efficient computation process. Essentially, candidates should prepare a skeleton, either mentally or substantially in written format, for questions allocated with substantial marks thereon in order to avoid losing track during the preparation of the answer.